

heard of people showing up at a coin dealer with bags of coins left to them by their father. The coins never showed up on any balance sheet. They were never recorded in the man's estate. As far as the children knew, the coins had little value. Here's the conversation, as reported by a friend:

The coin dealer examined one of the coins.

"Why did you come to see me?" the dealer asked.

"Because Dad left a note with your address."

"How many of these do you have?"

"I don't know. Dad left about 10 bags of them. We all thought he was a little nutty."

"Well . . . he was not nutty. Those coins are worth about \$10,000 each."

A legal strategy would have been to give the coins to the kids while they were alive. The tax law allows for gifts of up to \$13,000 per child per year. Then, there's the lifetime gift and estate tax exemption currently at \$5 million per taxpayer.

The point is, the less you have left in your estate at the time of your death, the better. Give it away. Sell it. Spend it. But get rid of it.

BACK TO THE BEGINNING . . .

One of the first considerations of hard structures is an obvious one. Family money has to be owned by someone. You want it to be owned by someone who doesn't die, doesn't get drunk at parties, and doesn't run off with a buxom redhead.

If you merely pass your money down from one generation to the next, it will soon disappear. The tax collector will take a big chunk. And one generation—perhaps this one, perhaps the next—will turn out to be a bad steward. So you typically need a hard structure—usually a trust—to give wealth continuity.

"A family can stand one weak generation," says our friend Lord Rees-Mogg. "But not two."

The most suitable owner of family wealth that we know of is a trust. And the most suitable trust for this sort of thing is what is known as a "dynasty" or "perpetual" trust. A trust can last, in theory, forever.